Consolidated Balance Sheet (Contd.)

(₹ In Crore)

Particulars	Note No.	As at 31 March 2026	2025
EQUITY AND LIABILITIES			
Equity			
Equity share capital	13	279.50	279.26
Other equity	14	38,552.49	34,909.48
Equity attributable to owners of the Company		**38,831.99**	**35,188.74**
Non-controlling interest	15	1,388.43	0.01
Total equity		**40,220.42**	**35,188.75**
Non-current liabilities			
Financial liabilities			
Borrowings	16	15,338.94	6,082.74
Lease liabilities	24	469.07	–
Sales tax deferral	17	73.30	127.64
Other financial liabilities	18	69.95	50.22
Provisions	19	367.64	14.33
Deferred tax liabilities (net)	20	1,304.30	1,123.03
Government grant		25.38	28.04
Other non-current liabilities	21	15.83	0.05
		17,664.41	**7,426.05**
Current liabilities			
Financial liabilities			
Borrowings	16	6,641.65	3,153.78
Lease liabilities	24	190.19	–
Trade payables			
Total outstanding dues of micro enterprises and small enterprises	22	222.94	253.56
Total outstanding dues of creditors other than micro enterprises and small enterprises	22	8,581.07	6,119.15
Other financial liabilities	18	1,344.02	743.57
Other current liabilities	23	1,243.82	813.61
Provisions	19	699.12	261.72
Government grant		2.65	2.65
Current tax liabilities (net)		412.70	235.77
		19,338.16	**11,583.81**
Total		**77,222.99**	**54,198.61**
Summary of material accounting policies followed by the Group	1		

The accompanying notes are an integral part of the consolidated financial statements

On behalf of the Board of Directors

As per our report of even date

For S R B C & CO LLP
Chartered Accountants
ICAI Firm Registration Number: 324982E/E300003

Niraj Bajaj
Chairman
(DIN: 00028261)

Rajiv Bajaj
Managing Director
(DIN: 00018262)

Dinesh Thapar
Chief Financial Officer

per Paul Alvares
Partner
Membership Number: 105754
Pune: 6 May 2026

Rajiv Gandhi
Company Secretary

Anami N. Roy
Chairman - Audit Committee
(DIN: 01361110)

Consolidated Statement of Profit and Loss

(₹ In Crore)

Particulars	Note No.	For the year ended 31 March 2026	2025
Revenue from contracts with customers & financial services		60,386.43	49,266.95
Other operating revenue		2,518.57	1,727.60
Total Revenue from operations	25	62,905.00	50,994.55
Other income	26	2,182.22	1,474.41
Total income		**65,087.22**	**52,468.96**
Expenses			
Cost of raw materials and components consumed		38,760.86	32,194.31
Purchase of traded goods		3,254.63	3,036.47
Changes in inventories of finished goods, work-in-progress and traded goods	27	394.37	28.41
Employee benefits expense	28	2,461.44	1,925.80
Finance costs	29	1,168.59	388.90
Depreciation and amortisation expense	30	644.69	414.23
Other expenses	31	5,112.78	3,439.05
Expenses, included in above items, capitalised		(140.15)	(97.22)
Total expenses		**51,657.21**	**41,329.95**
Share of profits/(loss) of associate (net)	49	560.74	(915.48)
Profit before exceptional items and tax		**13,990.75**	**10,223.53**
Exceptional items (net) - (gain)/loss	32	39.21	–
Profit before tax		**13,951.54**	**10,223.53**
Tax expense			
Current tax		3,631.70	2,623.85
Deferred tax		(235.35)	63.69
Deferred tax- Exceptional Item		(19.31)	211.26
Total tax expense	33	**3,377.04**	**2,898.80**
Profit after tax		**10,574.50**	**7,324.73**
Profit/(loss) attributable to non-controlling interest		(169.71)	-
Profit for the year		**10,744.21**	**7,324.73**

Notes to consolidated financial statements for the year ended 31 March 2026 (Contd.)

16 Borrowings

(₹ In Crore)

Particulars		Non-current		Current	
		As at 31 March		As at 31 March	
		2026	2025	2026	2025
Secured					
Term loan from banks (refer note (i) for details)					
– INR loans		7,480.75	4,199.95	5,652.40	2,339.17
– Foreign currency loan		2,369.57	1,882.79	39.70	–
Secured NCD (7.25%, 50,000 NCD of ₹ 100,000 each)		500.00	–	–	–
Interest accrued but not due		–	–	25.90	14.61
Other Loans					
Unsecured					
Term loan from banks					
– Foreign currency loan		4,988.61	–	871.94	–
Loan from Related parties		–	–	42.62	–
Interest accrued but not due on loan from related parties		0.01	–	9.09	–
INR loan, from a bank as packing credit facility against exports		–	–	–	800.00
		15,338.94	6,082.74	6,641.65	3,153.78
Current borrowings includes:					
Current maturities of long term borrowings	Secured			5,718.00	2,353.78
	Unsecured			51.71	–
				5,769.71	2,353.78

(i) Details of loans:

Particulars	Maturity Date	Secured/ Unsecured	Interest Rate	(₹ In Crore)	Repayment Terms
FY 2025-26					
Term loan 1	31-Dec-29	Secured	7.15%-7.90%	1,285.18	Quarterly
Term loan 2	15-Mar-27	Secured	6.13% - 7.10%	400.00	Bullet
Term loan 3	11-Nov-27	Secured	6.15% - 8.20%	291.67	Quarterly
Term loan 4	27-Nov-28	Secured	5.4% - 8.52%	1,258.83	Quarterly
Term loan 5 (Foreign currency loan) (ECB)	26-Mar-29	Secured	7.75% - 8.60%	2,081.77	5 quarterly installments before maturity
Term loan 6	26-Mar-30	Secured	5.4% - 8.50%	1,111.79	Quarterly
Term loan 7	14-Oct-27	Secured	8.14%	500.00	5 monthly installments before maturity
Term loan 8	23-Feb-29	Secured	7.50%	500.00	Bullet
Term loan 9	26-Sep-29	Secured	7.25%-8.70%	1,199.58	Quarterly
Term loan 10	30-Aug-28	Secured	7.42% -8.38%	1,166.66	Quarterly
Term loan 11	29-Sep-27	Secured	7.71% - 8.10%	468.72	Quarterly
Term loan 12	18-Jun-26	Secured	7.35%	250.00	Bullet
Term loan 13	22-Jan-28	Secured	7.45%-7.61%	160.00	Half yearly
Term loan 14	31-Jul-28	Secured	7.01%-7.40%	1,286.62	Quarterly
Term loan 15	30-Sep-28	Secured	7.20%-7.45%	832.88	Quarterly
Term loan 16	29-Dec-28	Secured	7.55%-7.8%	674.58	Quarterly
Term loan 17	15-Aug-28	Secured	7.50%	340.91	Quarterly
Term loan 18	18-Nov-29	Secured	7.4%-7.53%	1,405.99	Quarterly
Unsecured Bank loan of Euro 473 million*	2027-2031	Unsecured	EURIBOR+1.40	4988.58	Quarterly (Starting June 2027)
Unsecured Bank loan of Euro 50 million	19-May-26	Unsecured	EURIBOR+1.50	544.98	Repayable in Full
Unsecured Bank loan of Euro 30 million	18-May-26	Unsecured	EURIBOR+1.35	326.99	Repayable in Full

16 Borrowings (Contd.)

(i) Details of loans:

Particulars	Maturity Date	Secured/ Unsecured	Interest Rate	(₹ In Crore)	Repayment Terms
1.05% Oberbank Secured loans	30-Jun-29	Secured	1.05%	34.83	Half-yearly
4.03% Pierer Industrie	31-Dec-26	Unsecured	4.03%	42.62	Repayable in Full
8.35% Mortgage loan - Nuveen	10-Apr-56	Secured	8.35%	147.18	Half-yearly
5.79% Oberbank Secured loans	30-Jun-29	Secured	5.79%	96.76	Half-yearly
4.12% Oberbank Secured loans	30-Jun-42	Secured	4.12%	35.71	Half-yearly
2.24% Mortgage loan - RLB	31-Jul-26	Secured	2.24%	4.44	Half-yearly
2.24% Mortgage loan - SPK	31-Jul-26	Secured	2.24%	8.57	Half-yearly
Non-convertible Debenture- Secured (NCD)	27-Nov-28	Secured	7.25%	500.00	Repayable in Full
Less: Impact of EIR				(0.25)	
Total				21945.59	

a) Term loans other than ECB is denominated in indian currency and secured against loans and book debts.

b) External commercial borrowing is denominated in foreign currency and secured against loans and book debts.

c) Other than Term loans, ECB and NCD, loans of BAIHAG group are secured by property, plant and equipment as specified under notes to accounts 2(e).

* On 26 February 2026 BAIHAG has entered into a new loans of BAIHAG group agreement of Euro 550 million with international banking consortium consisting of J.P. Morgan SE, HSBC, DBS Bank Limited and MUFG Bank Ltd. The BAIHAG Group has obtained a sanctioned borrowing facility from its lenders amounting to Euro 550 million. As at the reporting date, the BAIHAG group has utilised approximately Euro 473 million of the sanctioned limit, with the balance remaining unutilised.

The borrowing has been accounted as significant transactions between 31 December 2025 and the date of these financial statement in accordance with Paragraph B93 of IndAS 110.

The BAIHAG Group's financing arrangements are subject to certain financial covenants, compliance with which is required throughout the tenure of the facilities at BAIHAG level. The principal covenants are as follows:

- Ratio of total net debt to consolidated EBITDA shall not exceed; (4.5:1 - June 2027, 3.5:1 - December 27 to June 2028, 2.5:1 December 2028 to June 2030).
- Ratio of consolidated EBITDA to consolidated net finance charges shall not be less than; (2:1 - June 2027, 3:1 - December 27 to June 2028, 4:1 December 2028 to June 2029).
- Consolidated net worth shall not at any time be less than zero.

The Borrower and BAIHAG Group entities shall not create or permit any security over their assets, except for permitted liens and arrangements in the ordinary course of business. The BAIHAG Group shall not enter into sale-and-leaseback transactions, dispose receivables on recourse terms, enter title retention or preferential arrangements, or permit set-off/combination of accounts, where such transactions are primarily for raising indebtedness or financing asset acquisitions.
The covenant would be tested at the end of each reporting period or the relevant date as mentioned in the agreement. The BAIHAG Group currently has no indication that it will have difficulty complying with this covenant.

- The borrowings pertaining to financial service business of the Group, has unutilised ₹ 1000 crore of the sanctioned limit. Also, these borrowings are subject to major covenants as, Shareholding of Holding Company to be atleast 51% and CRAR to be maintained as per regulatory guidelines.
- The other loans do not carry any significant covenant.

Particulars	Maturity Date	Secured/ Unsecured	Interest Rate	(₹ In Crore)	Repayment Terms
FY 2024-25					
Term loan 1	02-Sep-28	Secured	7.80%- 8.03%	874.98	Quarterly
Term loan 2	16-Mar-26	Secured	7.62% - 7.77%	400.00	Bullet
Term loan 3	30-Nov-28	Secured	8.50%- 8.55%	468.75	Quarterly
Term loan 4	11-Nov-27	Secured	7.85% - 8.42%	491.67	Quarterly
Term loan 5 (Foreign currency loan)	26-Mar-29	Secured	7.75% - 8.60%	1,882.79	5 quarterly instalments before maturity
Term loan 6	20-Mar-28	Secured	7.20% - 8.70%	770.83	Quarterly
Term loan 7	29-Sep-27	Secured	8.50% - 8.60%	1,045.83	Quarterly
Term loan 8	14-Oct-27	Secured	8.14%	500.00	5 monthly instalments before maturity
Term loan 9	31-Dec-28	Secured	8.60% - 8.70%	374.98	Quarterly
Term loan 10	28-Mar-28	Secured	8.38%	500.00	Quarterly
Term loan 11	29-Sep-27	Secured	8.10% - 8.60%	625.00	Quarterly
Term loan 12	29-Feb-28	Secured	8.40%	487.49	Quarterly
Packing credit facility	20-Jun-25	Secured	1m T-bill+43 bps	800.00	Repayable in Full
Less: Impact of EIR				(0.41)	
Total				9,221.91	

a) Term loans other than ECB is denominated in indian currency and secured against loans and book debts.

b) External commercial borrowing is denominated in foreign currency and secured against loans and book debts.

Notes to consolidated financial statements for the year ended 31 March 2026 (Contd.)

37 Capital management (Contd.)

(₹ In Crore)

Particulars	For the year 31 March 2026	2025
Change in liability arising from financing activity (See note 37a)		
At the beginning of the year	9,236.52	1,785.90
Changes from financing cash flows	11,120.63	7,434.18
Add: Additions due to acquisition	1,482.04	–
Add: Foreign exchange fluctuations	706.50	16.44
Other non cash changes	16.19	–
Add: Interest accrued, not paid	77.97	–
As at the end of the year	22,639.85	9,236.52

i) Capital Management of Financial Service Business

The Group in its financing segment actively manages its capital base to cover risks inherent to its business and meet the capital adequacy requirement of RBI. The adequacy of the financing service business capital is monitored using, among other measures, the regulations issued by RBI. The Company's objective is to maintain appropriate levels of capital to support its business strategy taking into account the regulatory, economic and commercial environment.

The Group aims to maintain a strong capital base to support the risks inherent to its business and growth strategies. The Company endeavours to maintain a higher capital base than the mandated regulatory capital at all times. The Company's assessment of capital requirement is aligned to the mandatory regulatory capital and its planned growth which forms part of an annual operating plan which is approved by the Board and also a long range strategy. These growth plans are aligned to assessment of risks- which include credit, liquidity and market.

The Group monitors its capital to risk-weighted assets ratio (CRAR) in financial service business on a monthly basis through its assets liability management committee (ALCO).

The Group endeavours to maintain its CRAR financial service business higher than the mandated regulatory norm. Accordingly, increase in capital is planned well in advance to ensure adequate funding for its growth.

Further, the Group makes investment in Fixed deposits in banks and in mutual funds during the year. These investments are funded by the Group through its equity share capital.

ii) Regulatory capital

(₹ In Crore)

Particulars	As at 31 March 2026	2025
Tier I capital	3,235.65	2,316.43
Tier II capital	572.38	55.44
Total capital (Tier I + Tier II)	3,808.03	2,371.87
Risk weighted assets	19,485.63	9,994.45
Tier I CRAR	16.61%	23.18%
Tier II CRAR	2.94%	0.55%
CRAR (Tier I + Tier II)	19.54%	23.73%

37 Capital management (Contd.)

b) Dividends distributed and proposed

(₹ In Crore)

Particulars	As at 31 March 2026	2025
Dividends recognised in the financial statements		
Final dividend for the year ended 31 March 2025 of ₹ 210 (31 March 2024 - ₹ 80) per equity share, declared and paid	5,864.41	2,233.44
Dividends not recognised at the end of the reporting period		
Directors have recommended the payment of a final dividend of ₹ 150 per equity share (31 March 2025 – ₹ 210). This proposed dividend is subject to the approval of shareholders in the ensuing annual general meeting.	4,192.47	5,864.41

c) Approval of Buyback

Pursuant to the provisions of the Companies Act, 2013 ('Act') and the rules made thereunder, as amended, applicable provisions of Securities and Exchange Board of India (Buy-back of Securities) Regulations, 2018, as amended ('Buyback Regulations') and other applicable laws, the Board of Directors of the Company, at its meeting held today, i.e., Wednesday, 06 May 2026, recommends buy-back of up to 4,694,000 fully paid-up equity shares of the Company having face value of ₹ 10/- (Indian Rupees Ten only) each ('Equity Shares') (representing up to 1.68% of the total number of Equity Shares in the paid-up equity share capital of the Company), at a price of ₹ 12,000 (Indian Rupees Twelve thousand only) per equity share payable in cash for an aggregate amount of up to ₹ 5,632.80 crore/- (Rupees Five thousand six hundred thirty two crore eighty lakh only) (excluding transaction costs such as brokerage cost, fees, turnover charges, expenses incurred or to be incurred for the buyback like filing fees payable to the Securities and Exchange Board of India, advisors/legal fees, public announcement publication expenses, printing and dispatch expenses, applicable taxes such as securities transaction tax, good and service tax, stamp duty, etc. and other incidental and related expenses, etc.) on a proportionate basis through the 'Tender Offer' route as prescribed under the Buyback Regulations and other applicable law, from the equity shareholders/beneficial owners of the equity shares of the company as on the record date, subject to approval of shareholders.

38 Contingent liabilities

(₹ In Crore)

Particulars	As at 31 March 2026	2025
a. Claims against the Group not acknowledged as debts	231.57	214.38
b. Excise, Service tax, GST and Customs matters under dispute	676.92	634.38
c. Income-tax matters	1,089.12	1,091.80
d. Value Added Tax (VAT)/Sales Tax matters under dispute	93.33	93.28
e. Bank guarantees	48.87	–
f. Claims made by temporary workmen Pending before various judicial/appellate authorities in respect of similar matters adjudicated by the Supreme Court. The matter is contingent on the facts and evidence presented before the courts/ adjudicating authorities and not necessarily likely to be influenced by the Supreme Court's order. In all the cases, outflow is not probable and hence not provided by the Group.	Liability unascertained	Liability unascertained

39 Fair value measurement (Contd.)

(₹ In Crore)

Particulars	31 March 2026			31 March 2025		
	FVTPL	FVTOCI	Amortised Cost	FVTPL	FVTOCI	Amortised Cost
Other financial assets	–	–	2,843.57	–	–	2,288.91
Cash and cash equivalents	–	–	2,989.97	–	–	2,331.53
Other bank balances	–	–	81.92	–	–	516.07
Derivative financial assets	–	231.46	–	2.51	1.14	–
Total financial assets	8,074.96	3,618.54	41,223.88	9,715.55	4,706.19	27,985.40
Financial liabilities						
Borrowings	–	–	21,980.59	–	–	9,236.52
Lease liabilities	–	–	659.26	–	–	–
Sales tax deferral	–	–	73.30	–	–	127.64
Trade payables	–	–	8,804.01	–	–	6,372.71
Derivative financial liability	10.49	14.62	–	–	18.56	–
Other financial liabilities	–	–	1,388.86	–	–	775.23
Total financial liabilities	10.49	14.62	32,906.02	–	18.56	16,512.10

ii) Fair value hierarchy

This section explains the judgements and estimates made in determining the fair values of the financial instruments that are (a) recognised and measured at fair value and (b) measured at amortised cost and for which fair values are disclosed in the financial statements. To provide an indication about the reliability of the inputs used in determining fair value, the Company has grouped its financial instruments into the three levels prescribed under the accounting standard. An explanation of each level follows underneath the table.

Financial assets/liabilities measured at fair value – recurring fair value measurements At 31 March 2026

(₹ In Crore)

Particulars	Notes	Level 1	Level 2	Level 3	Total
Financial investments at FVTPL					
- Short-term funds	5	5,744.52	–	–	5,744.52
- Short duration bond funds	5	1,024.32	–	–	1,024.32
- Liquid mutual funds	5	484.55	–	–	484.55
- Derivative Asset	7	–	–	–	–
- Loans	6	–	21.40	–	21.40
- Arbitrage funds	5	788.09	–	–	788.09
- Equity investment	5	–	–	12.08	12.08
Financial investments at FVTOCI					
- Derivative Asset	7	–	231.46	–	231.46
- Government securities	5	–	224.70	–	224.70
- Equity investment	5	3,061.10	98.30	–	3,159.40
- Alternative Investment Fund		–	–	2.98	2.98
Total financial assets		11,102.58	575.86	15.06	11,693.50

Notes to consolidated financial statements for the year ended 31 March 2026 (Contd.)

39 Fair value measurement (Contd.)

(₹ In Crore)

Particulars	Notes	Level 1	Level 2	Level 3	Total
Financial liabilities at FVTPL					
Derivative financial liability	18	10.49	–	–	**10.49**
Financial liabilities at FVTOCI					
Derivative financial liability	18	–	14.62	–	**14.62**
Total financial liabilities		10.49	14.62	–	25.11

Assets disclosed at fair value – At 31 March 2026

(₹ In Crore)

Particulars	Notes	Level 1	Level 2	Level 3	Total
Investment property	3	–	238.78	–	238.78

Financial assets/liabilities measured at fair value – recurring fair value measurements At 31 March 2025

(₹ In Crore)

Particulars	Notes	Level 1	Level 2	Level 3	Total
Financial investments at FVTPL					
- Short-term funds	5	4,985.22	–	–	4,985.22
- Short duration bond funds	5	731.78	–	–	731.78
- Liquid mutual funds	5	1,020.62	–	–	1,020.62
- Bonds	5	–	460.45	–	460.45
- Derivative Asset	7	–	2.51	–	2.51
- Loans	6	–	21.40	–	21.40
- Arbitrage funds	5	2,493.57	–	–	2,493.57
-Alternative Investment Fund		–	–	–	–
Financial investments at FVTOCI					
- Derivative Asset	7	–	1.14		1.14
- Government securities	5	–	78.30		78.30
- Equity investment	5	4,365.57	261.18	–	4,626.75
Total financial assets		13,596.76	824.98	–	14,421.74
Financial liabilities at FVTOCI					
Derivative financial liability	17	–	18.56	–	18.56
Total financial liabilities		–	18.56	–	18.56

Notes to consolidated financial statements for the year ended 31 March 2026 (Contd.)

45 Disclosure in terms of Schedule III of the Companies Act,2013

Previous year

Particulars	Net Assets (i.e. total assets minus total liabilities)		Share in Profit or (Loss)		Share in other comprehensive income		Share in total comprehensive income	
	As a % of consolidated net assets	Amount (₹ In Crore)	As a % of consolidated profit or loss	Amount (₹ In Crore)	As a % of consolidated other comprehensive income	Amount (₹ In Crore)	As a % of consolidated total comprehensive income	Amount (₹ In Crore)
1 Parent:								
Bajaj Auto Ltd.	91.37%	32,146.94	111.29%	8,151.42	93.03%	1,223.24	108.51%	9,374.66
2 Subsidiaries (Indian):								
Bajaj Auto Technology Ltd. (earlier known as Chetak Technology Ltd.)	1.09%	383.63	0.23%	16.73	(0.14%)	(1.85)	0.17%	14.88
Bajaj Auto Credit Ltd. (earlier known as Bajaj Auto Consumer Finance Ltd.)	6.81%	2,397.21	0.80%	58.30	(1.85%)	(24.32)	0.39%	33.98
3 Subsidiaries (Foreign):								
PT Bajaj Auto Indonesia	–	0.89	–	(0.03)	0.01%	0.14	–	0.11
Bajaj Auto International Holdings BV	7.03%	2,472.39	0.26%	19.27	6.21%	81.69	1.17%	100.96
Bajaj Auto (Thailand) Ltd.	0.03%	10.69	0.01%	0.86	(0.02%)	(0.27)	0.01%	0.59
Bajaj Auto Spain S.L.U.	0.02%	7.11	0.01%	0.83	(0.01%)	(0.11)	0.01%	0.72
Bajaj Do Brasil Comercio De Motocicletas LTDA	0.19%	68.35	(0.09%)	(6.29)	0.10%	1.34	(0.06%)	(4.95)
4 Associate (Foreign):								
Bajaj Auto International Holdings AG (earlier known as Pierer Bajaj AG)	10.48%	3,688.27	(4.29%)	(314.55)	–	–	(3.64%)	(314.55)
Add/(Less): Non-controlling interest in all subsidiaries	–	(0.01)	–	–	–	–	–	–
Add/(Less): Inter-company eliminations	(17.02%)	(5,986.72)	(8.22%)	(601.81)	2.67%	35.13	(6.56%)	(566.68)
Total	**100.00%**	**35,188.75**	**100.00%**	**7,324.73**	**100.00%**	**1,314.99**	**100.00%**	**8,639.72**

46 Business combinations and acquisition of non-controlling interests

Acquisitions during the year ended 31 March 2026

Acquisition of Bajaj Auto International Holdings AG (BAIH AG) (Formerly known as 'Pierer Bajaj AG' or 'PBAG').

On November 18, 2025 ('date of acquisition'), the Group through its wholly owned subsidiary, Bajaj Auto International Holdings B.V, (BAIHBV), acquired sole controlling interest in BAIH AG and consequently, BAIH AG became subsidiary of the Group. Together with previously held 49.9% of shares, Bajaj Auto Group now owns 100% in BAIHAG which inturn holds ~74.94% stake in BMAG. BMAG is the holding company of KTM AG, a leading motorcycle manufacturer in Europe with brands such as KTM, Husqvarna and GASGAS.

The Group has accounted, profit of ₹ 953.10 crore on remeasurement at fair value on acquisition date, pertaining to previously held equity interest and has reclassified foreign currency translation gain on investment in erstwhile associate accumulated over the prior reporting periods in Foreign Currency Translation Reserve of ₹ 645.71 crore, to profit or loss.

Pursuant to acquisition of such controlling stake, the fair values of assets acquired and liabilities assumed have been determined by the Group and accounted for using the acquisition method of accounting in accordance with Ind AS 103 'Business Combination' as at the date of acquisition. The excess of the fair value of the net assets acquired over the purchase consideration has been recognised as capital reserve in other equity through other comprehensive income. Accordingly, the Group has consolidated BAIHAG as a subsidiary from date of acquisition till 31 December 2025. Financial statements for the year ended 31 March 2026 include the impact of the above transaction w.e.f. 18 November 2025 and are thus not comparable with corresponding previous periods.

The Group has elected to measure non-controlling interests in the acquiree using the proportionate share method, i.e., based on the present ownership instruments' share in the recognised amounts of the acquiree's identifiable net assets.

46 Business combinations and acquisition of non-controlling interests (Contd.)

Assets acquired and liabilities assumed

The fair values of the identifiable assets and liabilities of these entities as at the date of acquisition were:

(₹ In Crore)

Particulars	Fair Value
Assets	
Property, plant and equipment	3,476.78
Capital work-in-progress	73.60
Right of use-assets	569.86
Intangible assets	3,924.92
Intangible assets under development	1,442.30
Investments in associates	171.87
Loans	30.01
Income tax assets (net) & deferred tax assets	89.30
Other financials assets	697.96
Other assets	833.26
Inventories	4,764.29
Trade receivables	2,618.32
Cash and cash equivalents	889.53
Assets and disposal groups held for sale	56.90
	19,638.90
Liabilities	
Borrowings	9,562.82
Deferred tax liabilities (net)	501.54
Lease liabilities	620.94
Trade payables	1,651.94
Other financial liabilities	483.01
Other liabilities	283.19
Provisions	493.25
Current tax liabilities (net)	31.04
	13,627.73
Total identifiable net assets at fair value	**6,011.17**
Non Controlling interest measured at fair value	1,533.30
Total identifiable net assets at fair value (pertaining to Group)	4,477.87
Bargain purchase gain/Capital Reserve	(21.83)
Purchase Considerations transferred	**4,456.04**

Notes to consolidated financial statements for the year ended 31 March 2026 (Contd.)

46 Business combinations and acquisition of non-controlling interests (Contd.)

The acquisition date fair value of the trade receivables amounts to ₹ 2,618.32 crore against the gross amount ₹ 2,779.94 crore. The full contractual amounts are expected to be realised.

From the date of acquisition, BAIHAG has contributed ₹ 1,296.23 crore of revenue and ₹ 871.86 crore to the losses before tax from continuing operations of the Group. If the combination had taken place at the beginning of the year, revenue from continuing operations would have been ₹ 10,236.98 crore and the profit before tax from continuing operations for the Group would have been ₹ 6,063.52 crore.

The right-of-use assets were measured at an amount equal to the lease liabilities and adjusted to reflect the favourable terms of the lease relative to market terms.

The deferred tax liability mainly comprises the tax effect of the accelerated depreciation for tax purposes of tangible and intangible assets.

Purchase Consideration

Particulars	(₹ In Crore)
Purchase consideration paid for acquisition of controlling stake (Exercise of call option of existing loan)	524.09
Fair Value of share held at acquisition date (49.9% in BAIH AG)	3,931.95
Total Consideration	**4,456.04**

Analysis of Cashflow on acquisition

Particulars	(₹ In Crore)
Purchase consideration paid for acquisition of controlling stake (Exercise of call option of existing loan)	(524.09)
Net cash acquired with the subsidiary	889.53
Net Cashflow on acquisition	**365.44**

47 Capital commitments

Particulars	As at 31 March 2026	2025
Capital commitments, net of capital advances	186.30	139.06
Investments related commitments*	5.53	4,605

***For FY24-25**

The Group had an investment in Bajaj Auto International Holdings AG (BAIH AG) (Formerly known as 'Pierer Bajaj AG' or 'PBAG') (erstwhile associate) through its wholly owned subsidiary BAIHBV. KTM AG, which is part of Pierer Bajaj AG Group applied for court restructuring proceedings with self-administration under Austrian jurisdiction pursuant to liquidity crisis and other adverse financial conditions. In this regard, creditors of KTM AG accepted the restructuring plan submitted by KTM AG which provides creditors to receive a cash quota of 30% of their claims in the form of a one-off payment. As a prerequisite to fulfil the cash quota of 30%, KTM AG was required to pay an equivalent amount with the restructuring administrator. To facilitate such funding needs of KTM AG, all shareholders of associate were committed to pay its share of Euro 540 million.

48 MSME Disclosure

Considering the Group has been extended credit period upto 45 days by its vendors and payments being released on a timely basis, there is no liability towards interest on delayed payments under 'The Micro, Small and Medium Enterprises Development Act 2006' during the year. There is also no amount of outstanding interest in this regard, brought forward from previous years. Information in this regard is on basis of intimation received, on requests made by the Group, with regards to registration of vendors under the said Act.

49 Investment in associates

The Group, through its wholly owned subsidiary, BAIHBV, previously held 49.9% stake in one associate, i.e., Bajaj Auto International Holdings AG ('BAI HAG' - formerly known as 'Pierer Bajaj AG' or 'PBAG'). On 18 November 18, 2025 ('date of acquisition'), the Company through its wholly owned subsidiary, BAIHBV, acquired sole controlling interest in BAI HAG and consequently, BAIHAG became subsidiary of the Group.

Bajaj Auto International Holdings AG ('BAIHAG' - formerly known as 'Pierer Bajaj AG' or 'PBAG') acts exclusively as the holding company of Pierer Mobility AG. The Pierer Mobility Group is Europe's leading 'Powered Two-Wheeler' (PTW) manufacturer with a focus on highly innovative sports motorcycles and electric mobility. With its KTM, HUSQVARNA Motorcycles, and GASGAS motorcycle brands, it is one of the technology and market leaders in Europe, especially when it comes to premium motorcycles.

The Group has accounted its share of consolidated loss for the period 1 January 2025 to 18 November 2025 as an associate, the profit on remeasurement of previously held equity interest at fair value was recognised in other comprehensive income and the accumulated foreign currency translation gain accumulated in the Foreign Currency Translation Reserve, has been reclassified to the Statement of Profit and Loss

(₹ In Crore)

Particulars	For the year ended 31 March 2026	2025
Share of profit/(loss) of associate accounted for under equity method	(1,038.07)	(3,389.66)
Gain on remeasurement at fair value (see note 46)	953.10	–
Impairment provisioning*	–	(600.93)
Reclassification of Foreign currency translation gain accumulated over the prior reporting periods in FCT Reserve	645.71	–
Restructuring Gain on write-back of liabilities of BAIH AG Group entities*	–	3,075.11
	560.74	(915.48)

* During the year ended 31 March 2025, the Group has recognized a net loss of ₹ 915.48 crore in the consolidated financial statements related to its investment in erstwhile associate entity, Bajaj Auto International Holdings AG ('BAI HAG' - formerly known as 'Pierer Bajaj AG' or 'PBAG'). This comprises share of loss of ₹ 314.55 crore, accounted for under the equity method, and an impairment loss of ₹ 600.93 crore on the carrying value of net investment in the associate.

The share of loss of ₹ 314.55 crore includes a proportionate share of gain of ₹ 3,075.11 crore recognised by KTM AG pertaining to write back of liabilities, consequent to the creditors meeting dated 25 February 2025, which was part of the financial restructuring process of KTM AG under court approved self-administration proceedings.

The impairment loss of ₹ 600.93 crore has been recognized on the Group's carrying value of net investment in associate forming part of automotive segment based on a computation of value in use pursuant to restructuring of KTM AG which included comprehensive review of the underlying valuation and long-term cash flow projections of operating entity KTM AG. The impairment assessment considered multiple scenarios and incorporated potential downside risks to future performance, including sensitivity to macroeconomic conditions, market demand, and execution of the restructured business plan.

a. Bajaj Auto International Holdings AG ('BAIHAG' - formerly known as 'Pierer Bajaj AG' or 'PBAG') erstwhile associate, is a private entity that is not listed on any public exchange.
The Group's interest is in PBAG. (Refer section B.1 of material accounting policies)

Particulars	31 Dec 2024 (₹ In Crore)
Current assets	11,084.64
Non-current assets	8,451.79
Assets held for sale and disposal groups	1,843.43
Current liabilities	20,767.20
Non-current liabilities	1,749.01
Liabilities in connection with assets held for sale and disposal groups	599.72
Equity	(1,736.07)
Revenue	17,011.12
Profit/(loss) before tax	(11,561.83)
Profit/(loss) for the year (continuing operations)	(9,781.15)
Total comprehensive income/(loss) for the year (continuing operations)	(9,796.27)

The associate had no contingent liabilities or capital commitments.

Notes to consolidated financial statements for the year ended 31 March 2026 (Contd.)

49 Investment in associates (Contd.)

b. The Group has, as on 31 March 2026, the financial assets accounted for using the equity method. The interests in associates that are included using the equity method are considered to be immaterial individually. Following associates are accounted for using the equity methods:

- KTM Asia Motorcycle Manufacturing Inc.,
  KTM Asia Motorcycle Manufacturing Inc., Philippines, was founded in June 2016 together with partner Ayala Corp. and started CKD (Completely-Knocked-Down) assembly for KTM motorcycles in the Philippines in mid-2017.
  This share is completely depreciated due to uncertain going concern forecasts.

- KISKA GmbH.
  The Group has classified and valued its 20% share in KISKA GmbH as 'held for sale'. Kiska GmbH is a design company that provides services in the field of development and design.

- LX Media GmbH;

- CFMOTO-KTMR2R Motorcycles Co., Ltd.,
  CFMOTO was established in financial year 2018 under the name 'Zhejiang CFMOTO-KTMR2R Mo-torcycles Co., Ltd.'. The company commenced operations in the financial year 2021.

  In Hangzhou, China, mid-range motorcycles are produced. The Bajaj Group intensified its cooperation with CFMOTO in the financial year 2023 and expanded production.

The following table illustrates the summarised financial information of the Group's investment in CFMOTO-KTMR2R Motorcycles Co., Ltd., (in Chinese Yuan, which is its functional currency) acquired as an associate through business combination of BAIHAG effective 18 November 2025: (Refer section B.1 of material accounting policies)

Particulars	31 Dec 2025 (₹ In Crore)
Current assets	13.09
Non-current assets	642.49
Assets held for sale and disposal groups	–
Current liabilities	276.03
Non-current liabilities	8.58
Liabilities in connection with assets held for sale and disposal groups	–
Equity	**370.97**
Revenue	1,184.61
Profit before tax	75.12
Profit for the year (continuing operations)	67.46
Total comprehensive income for the year (continuing operations)	67.46

The associate had no contingent liabilities or capital commitments.

50 Miscellaneous

a. There have been no events after the reporting date that require disclosure in these financial statements.

b. Amounts less than ₹ 50,000 have been shown at actual against respective line items statutorily required to be disclosed.

c. The Group does not have any Benami property, where any proceeding has been initiated or pending against the Group for holding any Benami property.

d. Companies incorporated in India forming part of the Group has performed the assessment to identify transactions with struck off companies as at 31 March 2026 and 31 March 2025 and identified no company with any transactions.

e. The Group has not traded or invested in crypto currency or virtual currency during the financial year.